

financial year under review has not been a favourable year for the Company as the Computer Industry in general continued to be in the grip of recession. High input costs as well as resource constraints hampered operations. The performance of your Company must be assessed in the light of these factors. During the year manufacturing operations were curtailed to achieve cost effectiveness Your directors are confident that the efforts for increased business volumes and cost control will yield better results in the current year”. The auditors were of the opinion that the company was sick whereas the directors spoke optimistically of their hope that the future would be better! I suppose they could not, being directors, state otherwise.

When reading an Auditor’s Report, the effect of their qualification may not be apparent. The Auditor’s Report of Royston Electronics Limited for 2009-2010 stated: “In our opinion and to the best of our information and explanation given to us, the said accounts subject to Note No. 3 regarding doubtful debts, No. 4 regarding balance confirmations, No. 5 on custom liability and interests thereon, No 11 on product development expenses, No. 14 on gratuity, No. 8, 16 (C) and 16(F) regarding stocks, give the information in the manner as required by the Companies Act 1956, and give a true and fair view. Let us now look at the specific notes in this case:

1. Note 3 stated that no provision had been made for doubtful debts.
2. It was noted in Note 4 that balance confirmation of sundry debtors, sundry creditors and loans and advances had not been obtained.
3. It was stated in Note 5 that customs liability and interest thereon worth Rs. 3,14,30,073 against the imported raw materials lying in the ICF / Bonded godown as on 31.3.2010 had not been provided.
4. Note 11 drew attention to the fact that product development expenses worth Rs. 17,44,049 were being written off over ten years from 2009-2010. Rs. 2,16,51,023 had been capitalised under this head relating to the development of CT142, Digital TV, Cooler, CFBT which shall be written off in 10 years commencing 2010-11.
5. The company’s share towards past gratuity liabilities as of 31 March 2010 had neither been ascertained nor provided for except to the extent of premiums paid against an LIC group gratuity policy taken by the trust (Note 14).